Initiatives like Atal Innovation Mission, Ayushmaan Bharat approach towards water conservation measures and the draft bill to establish the National Medical Commission to replace the Medical Council of India have all been conceptualized in NITI Aayog.

NITI Aayog is also bringing about a greater level of accountability. It has established a development monitoring and evaluation office which collects data on the performance of various ministries. Using such data, the Aayog makes performance based ranking of states to foster a spirit of competitive federalism. The success of NITI Aayog can be evaluated after a substantial period of time

Summary

The first part of this chapter deals with economic development which gained importance during the 20th Century. The concept of development and growth are used inter-changeably. However, there are mild differences between the two. The pace of economic development depends on several factors which are classified under economic and non-economic factors. Economic development is retarded by several obstacles of which the Vicious Circle of Poverty is the prime one. The second part is concerned with economic planning. The failure of market mechanism brought the birth of planning. Planning started in USSR and spread to countries like India and most of the mixed economies. There are strong arguments in favour of planning and some arguments against planning. There are various types of planning under different economic systems depending upon the extent of Government control. It is totalitarian and highly centralized in socialist countries, democratic and indicative in countries like France. The NITI Aayog is the new planning body replacing Planning Commission in India.

Glossary

- **Growth :** Economic growth refers to an increase in real GDP , which means an increase in the value of national output/national expenditure.
- **Development :** The systematic use of scientific and technical knowledge to meet specific objectives and requirements.
- **Social Indicators :** The basic needs for development such as health, education, sanitation, water, food etc.
- **Capital accumulation :** The process of addition to the existing stock of capital
- **Financial Planning :** Techniques of planning in which resources are allocated in terms of money
- **Physical Planning :** Techniques of planning in which resources are allocated in terms of men, materials and machinery
- **Perspective Planning :** Long term planning i.e. for a period of 15 years or more
- **Underdevelopment :** Underdevelopment is low level of development characterized by low real per capita income, widespread poverty, lower level of literacy, low life expectancy, underutilization of resources etc.

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